

The Effect of Contamination on Contamination Limit Regulation

US Coal Mining and Drinking Water Utilities

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US drinking water is monitored through self-reports

- Drinking water utilities provide treated water from groundwater and/or surface water sources to twenty five to millions of customers, publicly or privately owned.
- 85% of US households obtain water from a utility required to treat and self-report water quality.
 - ▶ Testing requires technical staff, administrative tracking, and laboratories.
 - ▶ Self-reporting is a larger burden than the MCL (Oleckno (1982)).
 - ▶ Testing **requirements increase with assessed source-water impairment.**
- 9 to 34 million US households obtain water from a utility violating a health standard (Allaire, Wu, and Lall, 2018).

Self-reported compliance

- Personal income taxes, Healthcare HIPAA violation disclosure, energy firms self-report anti-competitiveness/negligence to the Federal Energy Regulatory Commission, public companies' Sarbanes-Oxley Act self-report financial statement accuracy, Toxic Release Inventories, and drinking water utilities.
- The regulator learns of a violation if the firm self-reports.
- Water quality violations:
 - ▶ **MCL** — reported contamination above the limit. Formally enforced.
 - ▶ **MR** — under-reporting. Lower penalty compared to MCL.
- States main enforcers, have wide discretion. Enforcement is remedial before punitive:
 - ▶ Informal (letters, notices, compliance plans)
 - ▶ Formal (consent decrees, fines, prosecution)
 - ▶ Visits (sanitary, sampling, technical assistance)
- No self-report $\Rightarrow$ no MCL violation can be issued.
- MR saves self-reporting costs.
 - ▶ $\uparrow$ contamination $\rightarrow \uparrow$ testing requirements ($\uparrow$ **reporting costs**)
 - ▶ $\uparrow$ contamination $\rightarrow \uparrow$ probability MCL ($\uparrow$ **need to conceal**).
- If penalties for under-reporting do not rise with contamination, self-reporting falls

Research question

What happens to firms and regulators when contamination of a regulated output rises exogenously, under self-reported compliance?

- Does contamination reduce firm self-reporting?
- Is the reduction concealment of exceedances, or avoidance of reporting costs?
- Does contamination increase regulator enforcement?

Coal mining contaminates water and is not going

- Coal mining contaminates water quality by leaching inorganic chemicals into surface and ground water (Skousen, Ziemkiewicz, and McDonald (2019)).
 - ▶ Coal supplied 16% of US electricity in 2025 (International Energy Agency (2025)).
 - ▶ Federal policy is expanding mining access and delaying plant retirements (U.S. President (Trump) (2025); Daly (2025)).
- **Acid mine drainage:** exposed sulfide rock oxidizes, forms sulfuric acid, dissolves metal ions and sulfates, which travel into surface and ground water (Skousen, Ziemkiewicz, and McDonald (2019)).
- **Coal wash slurry:** impurities stored in retaining ponds seep through porous rock, or the ponds fail.
- Both increase with the **sulfur content** of the coal seam.
- Contaminants: **arsenic, nitrate, barium, selenium** — inorganic chemicals with stable utility MCL's 1985–2005.
- Costly to remove: replacing one small system's arsenic filtration cost \$192,000 plus \$60/day to run (US EPA, 2011).

What I do, and what is new

- Setting: drinking water utilities downstream of coal mines, 1985–2005.
 - ▶ Contamination is **upstream externality** — the firm cannot reduce by cutting output.
 - ▶ Separation aids identifying the effect of contamination.
- Instrument coal production using sulfur percentage content of coal and the Acid Rain Program Phase 1 deadline (Douglas and Wiggins, 2015).
- Contributions:
 - ▶ First causal estimates of effect of coal mining on **treated** drinking water at US utilities.
 - ▶ First evidence that **the cost of self-reporting**, not only concealment, causes under-reporting (Bennear, Jessoe, and Olmstead (2009); Zou (2021)).
 - ▶ Causal evidence of effect of **contamination itself** on contamination control effectiveness.

What I find

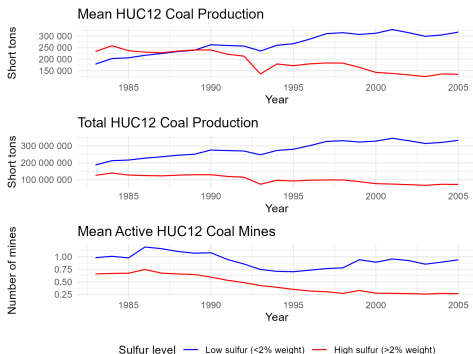
- $\uparrow$ mining $\rightarrow$ $\uparrow$ contaminant concentrations. 10M cumulative tons upstream raises mean arsenic by 0.0023 mg/L, about 100% of its sample mean; selenium +69%, barium +24%. All stay below the MCL.
- $\uparrow$ mining $\rightarrow$ $\uparrow$ **under-reporting**. One more upstream mine raises MR violations by 7–10 pp, more than doubling the base rate.
- $\uparrow$ mining $\rightarrow$ **no change** in MCL violations.
- $\uparrow$ mining $\rightarrow$ $\uparrow$ **enforcement visits** (+3.8 pp) and **sanitary visits** (+14 pp) but $\downarrow$ **formal enforcement** (–5.7 pp).
- **Self-reporting costs, not concealment:**
 - ▶ when nitrate readings cross 50% of the MCL and monitoring requirements step up — reporting cost up — increase under-reporting.
 - ▶ Sanitary inspections at under-reporting utilities do not discover concealed violations.
 - ▶ Contaminant concentrations stay below MCL.

Contamination shifts monitoring from the firm onto the regulator.

Setting and data

The Acid Rain Program moved coal, not for water reasons

- 1990 Clean Air Act amendments cap SO_2 from power plants; Phase I deadline **1995**.
- Power plants were 90% of coal demand; switching to low sulfur coal was the main compliance response.
- Demand shifts **toward low sulfur, away from high sulfur** coal beds.
- High sulfur mines have limited ability to wash the sulfur out — it is bound into the coal's chemical structure.



Model: the utility's two decisions

Utility draws compliance cost type $\theta \sim F(\cdot; m)$ and self-reporting cost $c \sim G(\cdot; m)$, both worsening in upstream contamination m .

- Chooses negligence a , unobserved by regulator, with benefit $\theta b(a)$, $b' > 0$, $b'' < 0$.
- Each of N required tests would reveal an exceedance with probability $q(a)$, $q' \geq 0$.
- Penalties: r for a self-reported exceedance, t for an MR violation, $s > r$ if an inspection (probability p) uncovers a hidden exceedance.

$$\underbrace{c + q(a)r}_{\text{report}} \leq \underbrace{t + p q(a)s}_{\text{under report}} \implies \text{report iff } c \leq \hat{c}(a) \equiv t - (r - ps) q(a).$$

- A system with **zero** exceedance risk still stops reporting once $c > t$.
- Silence is cheap at the margin: $ps < r$.

Model: why the utility under reports

Proposition 1

Negligence rises in compliance cost: $\partial a / \partial \theta > 0$.

Proposition 2

Under-reporting rises with contamination, $\partial MR / \partial m \geq 0$, through **(A) self reporting cost** and **(B) concealment** — the population shifts toward high-negligence types whose self-reporting cutoff is already lower.

Corollary 1

Hold exceedance risk fixed, $q(a) \equiv \bar{q}$. The cutoff is type-invariant, Channel B integrates to 0, and *all* of $\partial MR / \partial m \geq 0$ through Channel A.

If contamination raises under reporting without raising exceedance, it is self-reporting cost, not concealment.

Model: the regulator has a lever

Proposition 3

Scaling all penalties by $\lambda > 0$ lowers negligence and raises the reporting threshold, $C^*(\lambda) = \lambda \hat{c}(a_\lambda)$.

- Under reporting driven by Channel A is **correctable**: raising the price of under reporting reduces the relative costs of under reporting penalties compared to rising reporting costs.
- Tightening the MCL does not. That increases the incentive to conceal exceedance.

Data

- **Violations, enforcement, visits** — SDWIS/ECHO, universe of utilities 1985–2005. Binary by utility $\times$ year; days-in-year as a robustness measure.
 - ▶ Under-inclusive but accurate: 95% of the violations SDWIS holds are correctly reported (US EPA, 2000).
- **Contaminant concentrations** — EPA Six-Year Review round 2, 1998–2005. Cleaned following Ravalli et al. (2022); non-detects set to $MDL/\sqrt{2}$.
- **Mines** — MSHA locations merged to EIA annual production, mine level.
- **Coal sulfur %** — USGS COALQUAL samples, averaged within 20 km of each watershed.
- **Hydrology** — NHDPlus HUC12 watershed boundaries and inflow/outflow.
- **Sample:** Utilities with an intake **strictly one HUC12 downstream** of a mine watershed. 6,225 utility-years, 333 utilities.

Matching intakes to the watershed above them

- HUC12 is the finest watershed mapped for the continental US (>87,000 units).
- Exposure = mines and tons coal in the HUC12s **directly upstream** of the utility's intakes.
- Intakes **colocated** with a mine are excluded.
- Multiple intakes: sum production, average sulfur.



MR violations are common; MCL violations barely exist

Panel A: Any violation in year

Contaminant	MR		MCL	
	%	N	%	N
Nitrates	6.05	377	0.06	4
Arsenic	4.01	250	0.03	2
IOCs	4.59	286	0.32	20

Panel B: Days in year

Contaminant	MR				MCL			
	Mean	SD	P90	P99	Mean	SD	P90	P99
Nitrates	15.53	67.32	0.00	365.00	0.18	8.01	0.00	0.00
Arsenic	10.69	56.01	0.00	365.00	0.04	2.59	0.00	0.00
IOCs	12.27	60.15	0.00	365.00	0.78	15.83	0.00	0.00

Nitrate MR 6.1%, arsenic 4.0%, IOC 4.6% of utility-years. MCL violations: 4, 2, and 20 events across twenty years.

Does coal mining contaminate utility water?

Design: cumulative production, measured concentrations

$$\text{Concen}_{cht} = \beta \cdot \sum_{\tau=1985}^t \text{UpstreamCoalProd}_{c\tau} + \rho_c + \text{HUC02}_h \cdot \tau_t + \epsilon_{cht}$$

- Concen_{cht} : mean annual concentration at utility c in basin h , year t (SYR2, 1998–2005).
- β : effect of 10 million additional cumulative short tons mined upstream since 1985.
- ρ_c : utility fixed effects. $\text{HUC02}_h \cdot \tau_t$: basin-specific year effects, absorbing region-wide industrial trends.
- SEs clustered at the utility level.
- Continuous treatment, **no control**: identification comes from relative exposure.
- Assumption: utility with large upstream production changes would have trended like those with small ones.

Mining raises contaminant levels — but not above the limit

	Mean conc.			
	Arsenic (1)	Nitrate (2)	Barium (3)	Selenium (4)
Cumul. upstream coal prod. (10M ST)	0.0023*** (0.0004)	0.0572 (0.0922)	0.0171* (0.0093)	0.0033** (0.0016)
Observations	334	432	322	319
Utility fixed effects	✓	✓	✓	✓
huc02-year fixed effects	✓	✓	✓	✓

Notes: Standard errors clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Arsenic +0.0023 mg/L per 10M tons: about 100% of its mean, and 4.6% of the pre-2006 MCL. Selenium +69% and barium +24% of their means. Nitrate is positive but imprecise. **Every reading in the sample stays under its MCL.**

Do utilities keep self-reporting?

IV design: the ARP as a shifter of where coal is mined

First stage:

$$\text{NumMines}_{ct} = \alpha_0 + \alpha_1 \text{NumFacility}_{ct} + \alpha_2 \text{UpstreamCoalSulfur}\%_c \cdot \text{Post95}_t \\ + Y_t + C_c + \nu_{ct}$$

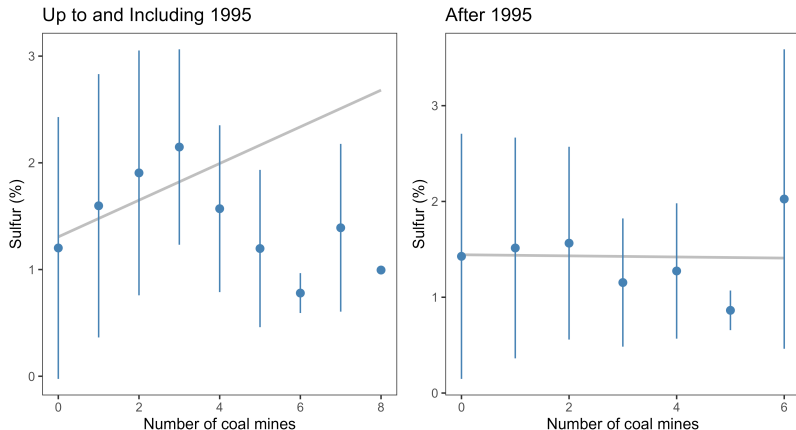
Second stage:

$$\text{Violation}_{vct} = \beta_0 + \beta_1 \text{NumFacility}_{ct} + \gamma \widehat{\text{NumMines}}_{ct} + Y_t + C_c + \epsilon_{ct}$$

- $\text{Post95}_t = \mathbf{1}\{t > 1995\}$. Sulfur is time-invariant, so C_c absorbs its level.
- Outcome: 1 if utility c had a violation of type v at any point in year t . Coefficients are in percentage points.
- SEs clustered at the utility level.

Shift in location of coal production w.r.t. sulfur

Descriptive evidence of first-stage relevance



Sample: HUC12 watersheds directly upstream of drinking water utility water intakes 1985-2005.

Points show the mean sulfur as a percent of coal weight within each coal-mine-count bin; ranges show ± 1 standard deviation within bin.

First stage: high sulfur watersheds lost their mines

	Upstream coal mines (sum) (1)
post95 $\times$ Upstream sulfur %	-0.2404*** (0.0458)
F-test (1st stage, clustered)	27.52
Observations	6,225

Notes: All specifications include utility and year fixed effects. Standard errors clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Instrument validity

- **Independence.** The ARP is national clean-*air* law. Its scope, stringency, and 1995 date were set by national energy and emissions politics, not by any downstream utility's water quality or its influence over mine siting. Time-invariant sulfur exposure is absorbed by utility fixed effects.
- **Exclusion.** The threat is a post-1995 SDWA change hitting high- and low-sulfur utilities differently. National rule changes are absorbed by year effects. Directly testable: regress the number of intake facilities — the observable proxy for the model's negligence type — on the instrument. The coefficient is -0.0016 (s.e. 0.0016), with and without a balanced panel.
- **Monotonicity.** A defier is a high-sulfur watershed that expanded *because* its coal was high sulfur. Scrubber adoption costs more likely leading to lost market share rather than gain; low-cost high-sulfur regions that expand anyway are never-takers.

Mining makes utilities stop reporting

	Monitoring and reporting (MR) violation		
	Nitrates (1)	Arsenic (2)	Inorganic chemicals (3)
OLS			
Upstream coal mines (sum)	1.95*** (0.72)	1.70*** (0.65)	1.80*** (0.66)
2SLS			
Upstream coal mines (sum)	9.93*** (3.73)	7.43** (3.05)	7.07** (3.23)
RF			
post95 $\times$ Upstream sulfur %	-2.39*** (0.84)	-1.79** (0.73)	-1.70** (0.77)

Notes: All specifications include utility and year fixed effects. Standard errors clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

One more upstream mine: nitrate MR +9.9 pp, arsenic +7.4 pp, IOC +7.1 pp, against base rates of 6.1%, 4.0%, and 4.6%. OLS is roughly five times smaller — negative omitted variable bias, as expected if utilities that can keep mines out are also better at compliance.

And no record of exceedances

	Maximum contaminant level (MCL) violation		
	Nitrates (1)	Arsenic (2)	Inorganic chemicals (3)
OLS			
Upstream coal mines (sum)	-0.02 (0.02)	-0.02 (0.04)	-0.00 (0.14)
2SLS			
Upstream coal mines (sum)	-0.02 (0.02)	0.08 (0.06)	-0.78 (0.69)
RF			
post95 $\times$ Upstream sulfur %	0.00 (0.00)	-0.02 (0.01)	0.19 (0.16)

Notes: All specifications include utility and year fixed effects. Standard errors clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

MCL effects are economically and statistically indistinguishable from zero. This is not evidence that the water stayed clean: without a self-report, the regulator cannot issue an MCL violation at all. It is also the wrong prediction for concealment — hiding is worth paying for when an exceedance is at stake, and measured concentrations never get there.

Reporting cost, not concealment: Corollary 1 in the data

- Nitrate rules require **more frequent monitoring** once a reading exceeds 50% of the MCL — a discrete jump in c , with no jump in the penalty for under-reporting and no exceedance yet: a reading at half the limit is still a reading under the limit.
- Exceedance risk is held fixed (Channel B = 0), reporting cost increases (Channel A ≥ 0).

	Arsenic MR (1-yr) (1)	Arsenic MR (6-mon) (2)	Nitrate MR (1-yr) (3)	Nitrate MR (6-mon) (4)	Pooled IOC (1-yr) (5)	Pooled IOC (6-mon) (6)
Mean concn. (z-score)	0.2622 (0.3250)	0.2665 (0.2495)	1.2804 (1.4274)	0.0482 (0.8741)		
Concn. > 50% MCL			58.9693** (24.6040)	26.1081** (10.5298)	0.4033 (2.4182)	-2.1966 (1.4172)
Concn./MCL					-5.9684 (8.1107)	-5.7062 (4.0256)
Observations	419	419	851	851	3,705	3,705
Utility fixed effects	✓	✓	✓	✓	✓	✓
Year fixed effects	✓	✓	✓	✓	✓	✓
Contaminant fixed effects					✓	✓

Notes: SEs clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Crossing 50% of the nitrate MCL raises the probability of failing to report within six months by 26 pp, and within a year by 59 pp. Descriptive, not causal — read the sign not magnitude. Utilities under-report when self-reporting gets expensive, not hiding.

How do regulators respond?

Enforcement does not counteract under-reporting

	Any enforcement		
	Informal (1)	Formal (2)	None (3)
OLS			
Upstream coal mines (sum)	0.84 (0.79)	-1.69*** (0.45)	-0.78 (0.86)
2SLS			
Upstream coal mines (sum)	-0.56 (4.00)	-5.65*** (2.05)	-0.10 (4.23)
RF			
post95 $\times$ Upstream sulfur %	0.14 (1.02)	1.45*** (0.52)	0.03 (1.08)

Notes: All specifications include utilities and year fixed effects. SEs clustered at the utilities level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

One more upstream mine reduces formal enforcement by 5.7 pp against a base rate of 3.5%; informal enforcement is flat.

The regulator substitutes its own monitoring instead

	Any visits				
	Sanitary	Technical assistance	Enforcement	Sample collection	Inspection
	(1)	(2)	(3)	(4)	(5)
OLS					
Upstream coal mines (sum)	1.06 (0.67)	-0.38 (0.42)	-0.71** (0.32)	-0.19 (0.12)	-0.33 (0.47)
2SLS					
Upstream coal mines (sum)	14.06*** (4.87)	1.41 (1.96)	3.67* (1.88)	1.35 (1.15)	-1.88 (2.41)
RF					
post95 × Upstream sulfur %	- 3.60*** (1.03)	-0.36 (0.48)	-0.94** (0.40)	-0.34 (0.27)	0.48 (0.60)

Notes: All specifications include utilities and year fixed effects. SEs clustered at the utilities level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Sanitary visits +14.1 pp against a base rate of 14.6%; enforcement visits +3.7 pp. Regulators show up — and then do not sanction. Either there are no hidden exceedances, or visits do not find them (Mi, Zhang, and Liu (2026)); I cannot separate the two but concealment is unlikely. Either way the penalty for under-reporting does not increase which Proposition 3 says would work.

Conclusion

- Exogenous contamination raises the cost of self-reporting, and self-reporting falls — **even where the quality standard is never breached.**
- The evidence points to cost avoidance, not concealment. Corollary 1 makes the two separable: with exceedance risk held fixed, only the cost channel can move under-reporting — I find flat exceedance and increasing self-reporting costs.
- Enforcement does not keep pace. Formal action falls as contamination rises, and the regulator absorbs the monitoring burden through sanitary visits instead.
- **Policy.** Tightening MCLs does nothing if nobody tests. Self-reporting penalties are a lever to reduce under-reporting.
- Open question: if regulator monitoring is more efficient than self-reporting.

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Appendix

Appendix: combined MR and MCL violations

	Any violation		
	Nitrates (1)	Arsenic (2)	Inorganic chemicals (3)
OLS			
Upstream coal mines (sum)	1.94*** (0.72)	1.67** (0.65)	1.75*** (0.65)
2SLS			
Upstream coal mines (sum)	9.91*** (3.72)	7.50** (3.06)	6.34* (3.32)
RF			
post95 $\times$ Upstream sulfur %	-2.38*** (0.84)	-1.80** (0.73)	-1.52* (0.80)

Notes: All specifications include utility and year fixed effects. Standard errors clustered at the utility level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

The combined effect is the MR effect: nitrate +9.9 pp, arsenic +7.5 pp, IOC +6.3 pp.

Appendix: instrument balance on intake facilities

	Number of Intake Facilities	
	(1)	(2)
Upstream sulfur		0.0384 (0.0735)
Post-1995 $\times$ Upstream sulfur	-0.0016 (0.0016)	-0.0016 (0.0017)
Utility fixed effects	✓	
Year fixed effects	✓	✓
Balanced panel		✓
Utilities	333	260
Observations	6,225	5,460

Notes: Standard errors, clustered at the utility level, are shown in parentheses below each coefficient. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$.

Appendix: concentration summary statistics

Variable	MCL	Mean	Max	Std. Dev.	N	Near MCL
Panel A: Full sample						
Arsenic (mg/L)	Pre-2006: 0.050 mg/L, 2006+: 0.010 mg/L	0.0029	0.0110	0.0023	378	0.0%
Nitrate (mg/L)	10.0 mg/L	0.7520	5.5400	0.8482	444	0.5%
Barium (mg/L)	2.000 mg/L	0.0748	0.7071	0.0671	369	0.0%
Selenium (mg/L)	0.050 mg/L	0.0048	0.0354	0.0051	367	0.5%
Cumul. upstream coal prod. (10M ST)	—	0.4402	14.1792	1.4162	518	—
Panel B: Utility exposed to above median cumulative tons of coal extraction						
Arsenic (mg/L)	Pre-2006: 0.050 mg/L, 2006+: 0.010 mg/L	0.0031	0.0100	0.0026	177	0.0%
Nitrate (mg/L)	10.0 mg/L	0.7770	5.5400	0.8175	236	0.4%
Barium (mg/L)	2.000 mg/L	0.0754	0.3320	0.0579	169	0.0%
Selenium (mg/L)	0.050 mg/L	0.0040	0.0346	0.0043	169	0.6%
Cumul. upstream coal prod. (10M ST)	—	0.8822	14.1792	1.9089	258	—

Appendix: who appears in the Six-Year Review

Panel A: 1997–2005

	Utility appears in SYR2		Diff. (3)	<i>p</i> -value (4)
	Yes (1)	No (2)		
Ever MR violation	32.4%	9.8%	22.6%***	0.000
Ever MCL violation	1.3%	0.0%	1.3%*	0.083
Mean annual violations (count, 0–6)	0.09	0.11	-0.02	0.663

Panel B:

1985–2005

	Utility appears in SYR2		Diff. (3)	<i>p</i> -value (4)
	Yes (1)	No (2)		
Ever MR violation	51.1%	32.8%	18.3%***	0.001
Ever MCL violation	5.3%	1.6%	3.7%*	0.052
Mean annual violations (count, 0–6)	0.13	0.26	-0.13**	0.018

Utilities with SYR2 readings are 18–23 pp more likely to ever incur an MR violation. The concentration sample over-represents the more negligent utilities, so it is not selected toward clean systems.

Appendix: enforcement and visits in the panel

	Whole panel		During MR year		During MCL year	
	%	N	%	N	%	N
Panel A: Enforcement type						
Formal	3.50	218	9.53	43	7.69	2
Informal	19.02	1,184	67.63	305	53.85	14
Any	21.37	1,330	70.73	319	65.38	17
Panel B: Visit type						
Sanitary	14.55	906	14.19	64	7.69	2
Technical assistance	2.33	145	4.88	22	0.00	0
Enforcement	1.16	72	2.44	11	3.85	1
Sample collection	0.90	56	0.44	2	0.00	0
Inspection	4.05	252	5.76	26	3.85	1

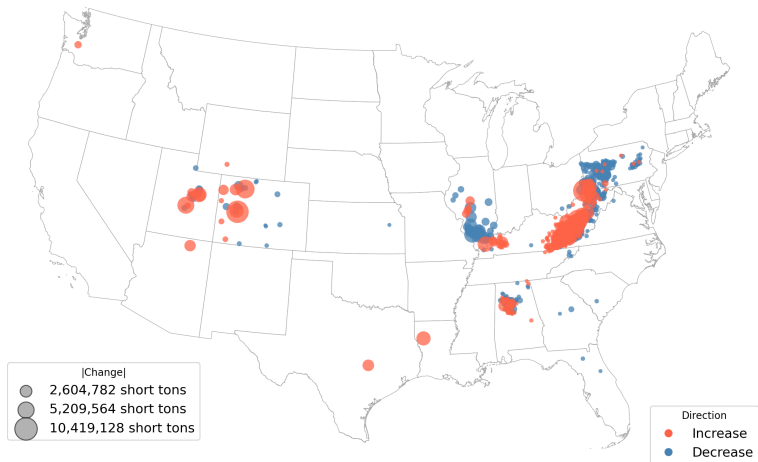
Enforcement responds to violations — any enforcement rises from 21% overall to 71% in MR years — but sanitary visits are no more likely in MR years than in any other year.

Appendix: reporting lag, national downstream states

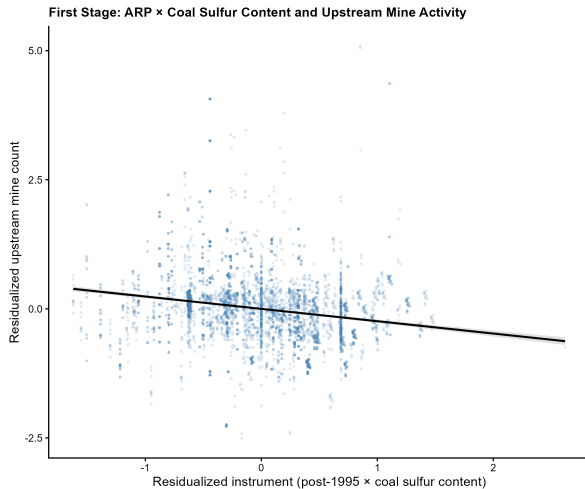
	OLS		Logit	
	Nitrate MR (1-yr) (1)	Nitrate MR (6-mon) (2)	Nitrate MR (1-yr) (3)	Nitrate MR (6-mon) (4)
Concen. > 50% MCL	0.4226* (0.2498)	0.1529* (0.0840)	0.1568** (0.0761)	0.0969 (0.0676)
Mean concen. (z-score)	2.1957** (0.9297)	1.0630*** (0.3789)	0.5452*** (0.1906)	0.3686*** (0.1327)
Observations	541,483	541,483	86,940	65,317

Notes: All specifications include utility and year fixed effects. SEs clustered at the utility level. *** p<0.01, ** p<0.05, * p<0.1.

Appendix: where coal production moved, 1985–2005

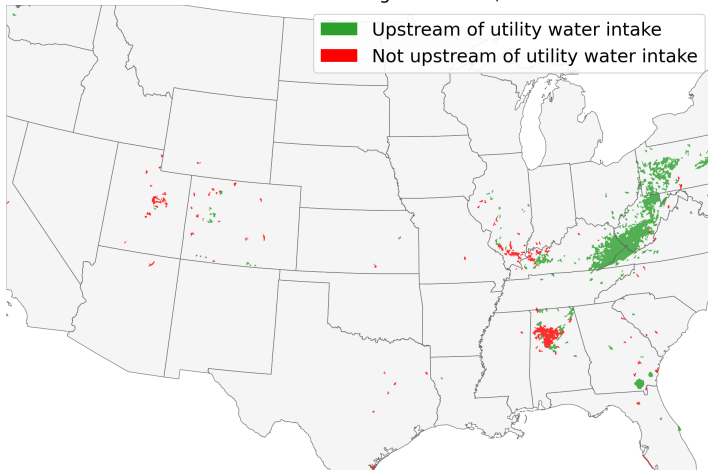


Appendix: residualized first stage



Appendix: sample watersheds

HUC12 watersheds containing coal mines, 1985-2005



Appendix: Corollary 1, statement and proof

Write the share of types under-reporting as $h(\theta, m) = 1 - G(c^*(\theta); m)$, with cutoff $c^*(\theta) = t - (r - ps)q(a_{SR}(\theta))$, so that

$$\frac{\partial MR}{\partial m} = \underbrace{\int_0^{\bar{\theta}} \frac{\partial h(\theta, m)}{\partial m} f(\theta; m) d\theta}_{\text{A: cost}} + \underbrace{\int_0^{\bar{\theta}} h(\theta, m) \frac{\partial f(\theta; m)}{\partial m} d\theta}_{\text{B: composition}}.$$

Corollary 1. If $q(a_{SR}(\theta)) \equiv \bar{q}$ on $(0, \bar{\theta})$, then $\partial MR / \partial m = -\partial G(\bar{c}; m) / \partial m \geq 0$, where $\bar{c} = t - (r - ps)\bar{q}$.

Proof. The cutoff is then type-invariant, $c^*(\theta) \equiv \bar{c}$, so $h(\theta, m) = 1 - G(\bar{c}; m)$ does not vary with θ and comes outside both integrals. The limits 0 and $\bar{\theta}$ do not depend on m , so by Leibniz's rule

$$\text{B} = [1 - G(\bar{c}; m)] \frac{d}{dm} \left[\int_0^{\bar{\theta}} f(\theta; m) d\theta \right] = [1 - G(\bar{c}; m)] \frac{d}{dm} [1] = 0,$$

since $f(\cdot; m)$ is a density for every m . Channel A collapses to $-\partial G(\bar{c}; m) / \partial m \geq 0$, because contamination shifts reporting costs up. $\square$

Why it matters. Channel B is the concealment margin: it operates only if contamination reallocates mass toward types whose exceedance risk, and hence whose cutoff, differs. Shut it down and any remaining rise in under-reporting is avoidance of the reporting technology itself. The 50%-of-MCL nitrate step is the empirical counterpart — monitoring frequency jumps, the sanction schedule does not, and readings are nowhere near the limit.

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